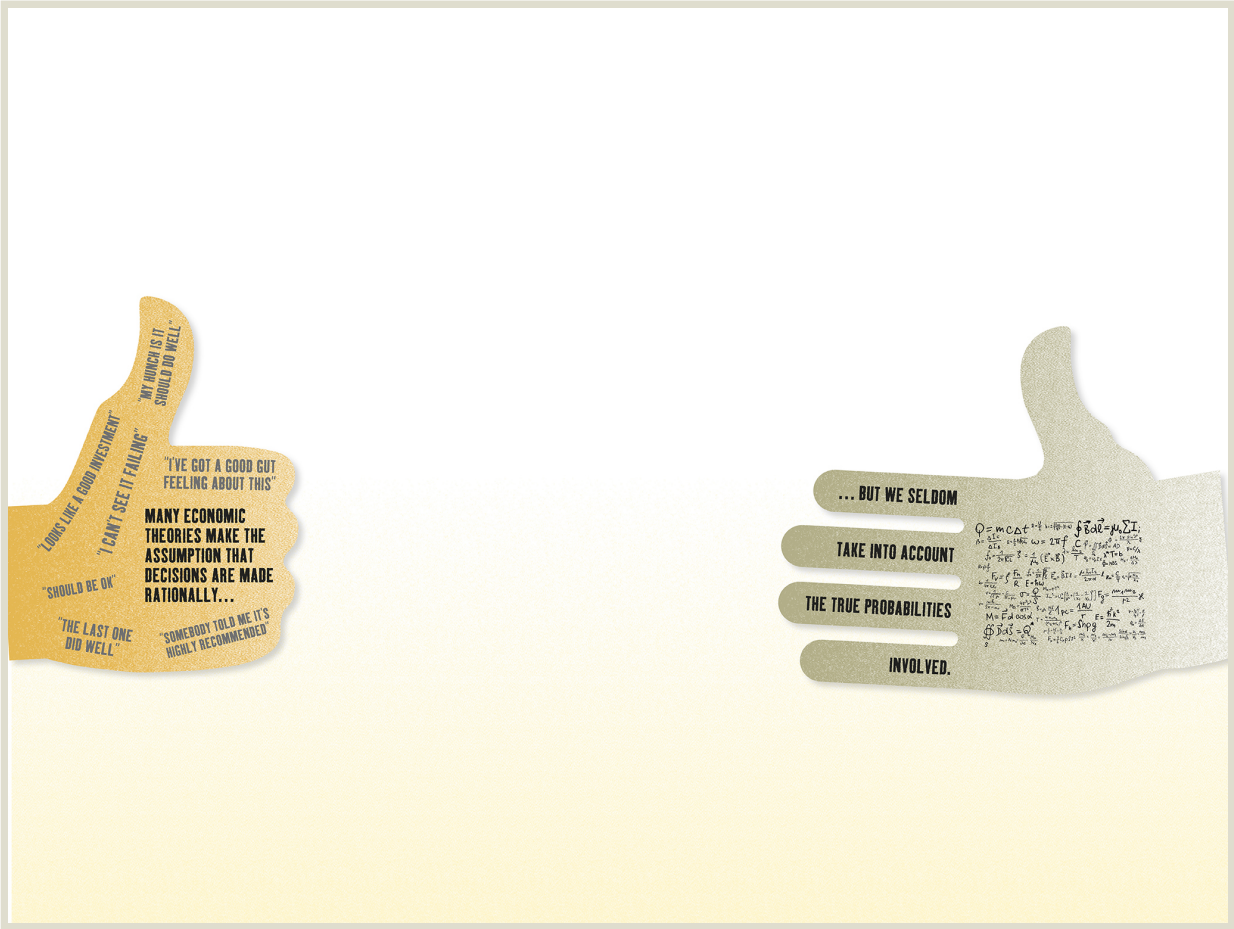


Make up your mind
When faced with making a decision, we generally act using intuition rather than rational thinking, because it's quicker and easier, and often gives us the result we want.

Just good enough

A pioneer of this field of behavioral economics was US political scientist Herbert Simon. He introduced ideas from psychology, sociology, and computer science to his study of economics in the later half of the 20th century. Simon noticed that when faced with an economic problem or choice, people don't always make the decision in a logical way, taking into account all the possibilities. It's not that we don't behave rationally, but that we have what Simon called "bounded rationality." One of the problems, he suggested, is that there's often too much to think about—economic problems involve many variables. And ordinary humans don't have minds like computers to